quarterly. Since nobody can predict the market, making one large lump-sum investment leaves us open to the risk of a sudden market crash. Spacing out investments over the year allows our money to buy more when markets are down and less when markets are hot.

Do you know that people like us are pumping over Rs 6,500 crores a month (that's Rs 78,000 crores a year!) into the equity market through SIPs? And do you know that people like us are the reason Indian markets don't fall when foreign hot money flows out? ***But remember that SIP is a vehicle and not the goal. You use an SIP to make investments in a mutual fund***. You can choose any scheme and build an SIP ladder into it. That fund, you still have to choose either yourself or by hiring a financial adviser.

A systematic transfer plan (STP) is a facility that allows you to space out a big investment over time. Remember we read that investing every month is better than hitting the market with a large lump sum? What if you suddenly got a big bonus or some arrears, or inherited a bunch of money? Instead of investing it all in one go, you can put the money in a liquid fund and set up a monthly (or weekly or fortnightly) transfer into an equity scheme. Remember that you have to choose a liquid fund of the same fund house whose equity fund you want to buy through an STP.

A systematic withdrawal plan (SWP) is a facility to periodically redeem your units to generate an income. Yes, it works like a dividend plan, but in this case the control remains in your hand of how much money you want to take from your fund periodically. The risk in an SWP is of it eating into your corpus. I find an SWP a useful tool for my retired father who is in a conservative balanced fund.

I can actually go on about mutual funds. But let's stop here. You have the basic building blocks of making a portfolio using mutual funds and that is enough for now. We are now getting to the point of actually making decisions for the money box on what to put in it. We're reaching here after doing all the hard work and not falling for a smart sales pitch of your bank manager. Let's fill that money box with all good things!